Petroleum Corporation would be greatly diminished by the fact that so many other claims were being made upon it at the same time.

A more obvious limitation appears from the Corporation's projected activities. It proposed to devote itself to investments in a single field—petroleum. The scope for judgment and analysis was thereby greatly circumscribed. As it turned out, the funds were largely concentrated, first in two related companies—Prairie Pipe Line Company and Prairie Oil and Gas Company—and then in a single successor enterprise (Consolidated Oil Corporation). Thus Petroleum Corporation took on the complexion of a holding company, in which the exercise of managerial skill appears to be reduced to a minimum once the original acquisitions are made.[1]

We are forced to conclude that financial schemes of the kind illustrated by Petroleum Corporation of America are unsatisfactory from the standpoint of the stock buyer. This is true not only because the total cost to him for management is excessive in relation to the value of the services rendered but also because the cost is not clearly disclosed, being concealed in good measure by the use of the warrant artifice.[2] (The foregoing reasoning does not rest in any way upon the fact that Petroleum Corporation's investments proved unprofitable.[3])

Position of Investment Banking Firms in This Connection. The second line of inquiry suggested by this example is also of major importance. What is the position occupied by the investment banking firms floating an issue such as Petroleum Corporation of America, and how does this

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[1] The same logical objection to the payment of a large "managerial bonus," in the form of option warrants to those organizing a holding company, may be urged against the set-up of Alleghany Corporation and United Corporation.

[2] In a series of "Notes" on the history of United Corporation financing by Sanford L. Schamus, in *Columbia Law Review* of May, June and November, 1937, the proposal was advanced that prospectuses issued under S.E.C. legislation should carry a tabulation showing the effect of the exercise of warrants on earnings and asset values. See November 1937 issue, pp. 1173–1174.

[3] A review of the operations of Petroleum Corporation, published by the S.E.C. in May 1939, criticizes severely a number of deals in which the management was interested on the other side. After 1933 a unique turn was given to the status of Petroleum Corporation through acquisition of a large interest (39.8%) therein by Consolidated Oil. The two companies thus became the largest stockholders of each other, an extraordinary and highly objectionable situation. See Part 3, Chap. II (2d sec.), of the *Report of the S.E.C. on Investment Trusts and Investment Companies.*